



NexFlow Three-Year Financial Plan

A line-by-line walk-through of the three-year financial plan that underpins the NexFlow investor deck and feasibility study. Every figure here reconciles with the underlying NexFlow financial model (`attached\_assets/nexflow\_financial\_model\_1777488064811.xlsx`) — investors and operators can use this document as the model's narrative companion.





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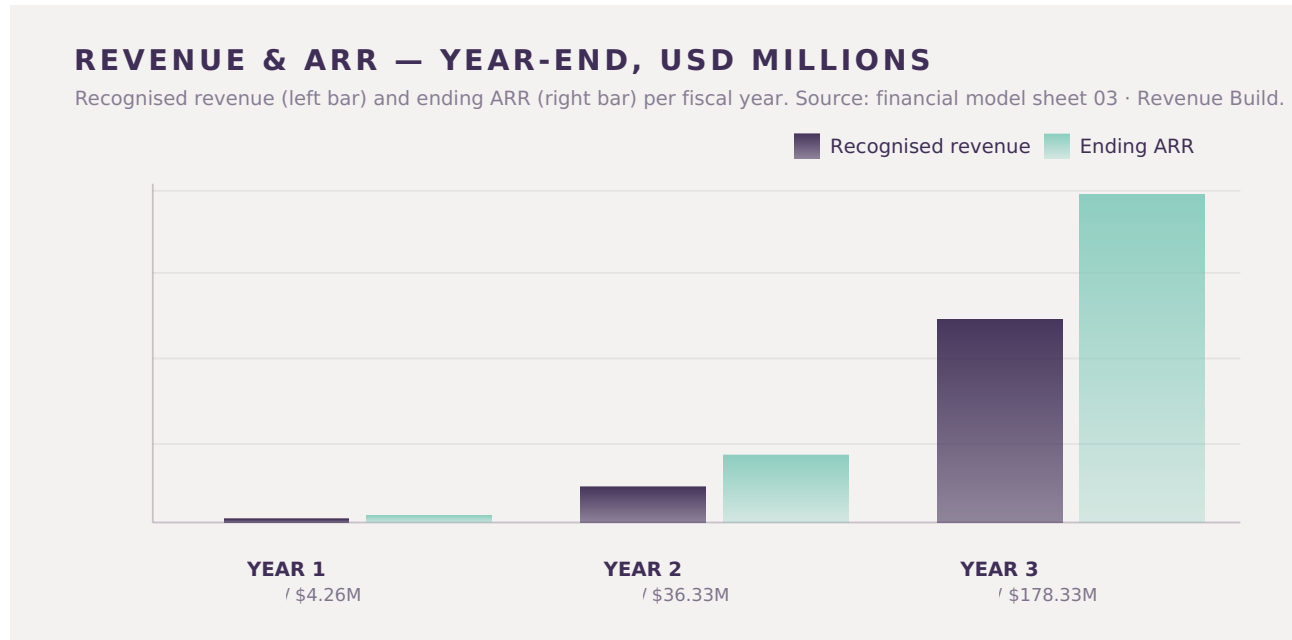
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■ 1. Headline numbers

METRIC	YEAR 1	YEAR 2	YEAR 3
Paying customers (year-end)	1,200	6,200	19,200
Paying seats (year-end)	6,000	43,400	192,000
Blended ARPU (per seat / mo)	\$59.10	\$69.75	\$77.40
ARR (year-end)	\$4.26M	\$36.33M	\$178.33M
Recognized revenue	\$1.68M	\$19.72M	\$110.66M
Gross profit	\$1.30M	\$15.58M	\$89.63M
Gross margin	77%	79%	81%
OpEx	\$0.07M	\$0.16M	\$0.40M
EBITDA	\$1.23M	\$15.42M	\$89.23M
Net income	\$0.98M	\$12.34M	\$71.38M



These are the same numbers used on the Financials slide (deck slide 10) and quoted throughout the deep-dive (02-investor-deep-dive.md) and feasibility study (03-feasibility-study.md). Every figure here is a direct extract from the financial model — sheet 03 (Revenue Build) for ARR/revenue/seats and sheet 05 (P&L) for COGS/OpEx/EBITDA/NI.



2. Revenue model

2.1 Pricing (per seat / month, USD)

TIER	PRICE	TARGET BUYER	NOTES
Starter	\$19	SMB sales teams (2–10 reps)	Adoption tier; below global SMB median
Professional	\$79	Mid-market (10–100 reps)	Pricing parity with global mid-market
Business	\$129	Mid-market+ (100–300 seats)	AI Hub fully unlocked
Enterprise T1	\$199	300–750 seats	Single-tenant KSA hosting
Enterprise T2	\$249	750–2,000 seats	Custom contract terms
Enterprise T3	\$299	2,000+ seats	Sovereign deployment + compliance pack



Prices reflect the financial model's Assumptions tab (sheet 01). The deck and deep-dive describe these in three abbreviated tiers (Starter / Growth / Sovereign) that map onto Starter / Professional+Business / Enterprise T1-T3 here.

2.2 Mix by year (percent of total seats)

TIER	YEAR 1	YEAR 2	YEAR 3
Starter (\$19)	50%	40%	35%
Professional (\$79)	35%	40%	40%
Business (\$129)	12%	15%	18%
Enterprise T1 (\$199)	2%	3%	4%
Enterprise T2 (\$249)	1%	1.5%	2%
Enterprise T3 (\$299)	0%	0.5%	1%
Blended ARPU	\$59.10	\$69.75	\$77.40

The blended ARPU rises year-on-year because of mix shift, not price hikes. Customers do not see price increases; they upgrade tiers as they grow. Mix percentages are taken directly from the model (sheet 01 lines "Mix % · ...").

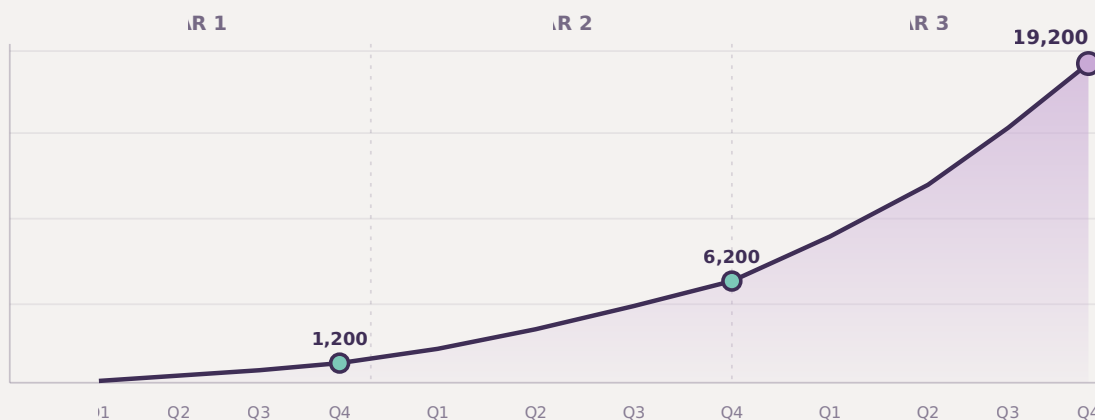
2.3 Seat plan & cohort build

	YEAR 1	YEAR 2	YEAR 3
New customers added in year	1,200	5,000	13,000
Avg seats per customer	5	7	10
Ending customers	1,200	6,200	19,200
Year-end seat count	6,000	43,400	192,000

The model's Revenue Build tab tracks this quarterly: 150 / 250 / 350 / 450 customers added in Y1Q1-Q4, then 900 / 1,150 / 1,400 / 1,550 in Y2, and 2,600 / 3,100 / 3,500 / 3,800 in Y3.

**CUSTOMER ACQUISITION CURVE — QUARTERLY ENDING CUSTOM**

Source: financial model sheet 03 · Revenue Build (quarterly customer cohorts).



2.4 ARR vs recognized revenue

ARR is the year-end run-rate of all booked subscriptions (year-end seats × blended ARPU × 12). Recognized revenue is what hits the income statement after accounting for ramp during the year (most Year-1 customers are added in H2 as the design partners convert).

	YEAR 1	YEAR 2	YEAR 3
ARR (year-end)	\$4.26M	\$36.33M	\$178.33M
Recognized revenue	\$1.68M	\$19.72M	\$110.66M
Implied effective months	~4.7	~6.5	~7.4

The "implied effective months" is $\text{recognized revenue} \div \text{year-end ARR} \times 12$ — it should rise each year as the customer base matures into a full-year revenue base, which it does.

3. Cost structure

3.1 Cost of revenue (COGS) and gross margin

COGS includes hosting (KSA-region cloud), AI inference cost (per-tier metered), Twilio voice & SMS, third-party integrations, and payment processing — exactly the line items in the model's Assumptions tab.



	YEAR 1	YEAR 2	YEAR 3
Cloud & infrastructure	7%	6%	5%
AI/LLM APIs (Claude, OpenAI TTS)	8%	7%	6%
Twilio voice & SMS	3%	3%	3%
Third-party integrations	2%	2%	2%
Payment processing	3%	3%	3%
Total COGS %	23%	21%	19%
Gross margin %	77%	79%	81%
COGS in USD	\$0.39M	\$4.14M	\$21.03M
Gross profit in USD	\$1.30M	\$15.58M	\$89.63M

Gross margin in Year 1 is below the SaaS norm because we absorb a meaningful first-year hosting and Sovereign-tier infrastructure buildout. By Year 3 the unit economics normalise above the SaaS median (80%) as fixed hosting cost amortises across a larger seat base.

GROSS MARGIN PROGRESSION

COGS as % of revenue compresses as fixed hosting and AI overhead amortise across a larger seat base. Source: financial m





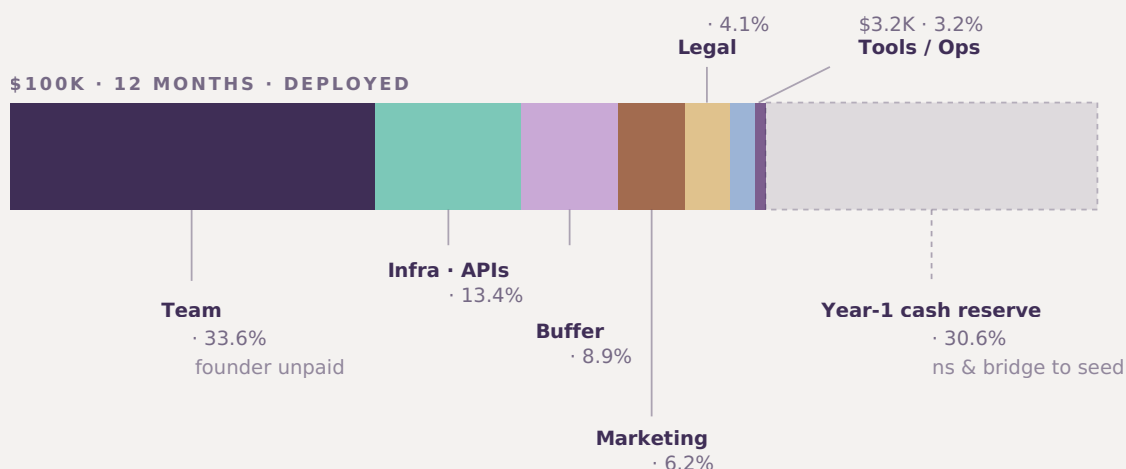
3.2 Operating expense (OpEx) — by category

	YEAR 1	YEAR 2	YEAR 3
Team (freelance + part-time + founder)	\$33,600	\$72,000	\$180,000
Infrastructure & APIs + Reliability	\$13,426	\$35,000	\$85,000
Marketing campaigns	\$6,200	\$25,000	\$80,000
Legal, accounting, compliance	\$4,100	\$8,000	\$18,000
Tools, SaaS stack	\$2,304	\$5,000	\$12,000
Ops, travel, misc	\$900	\$3,000	\$8,000
Buffer / contingency	\$8,870	\$12,000	\$20,000
Total OpEx (\$)	\$69,400	\$160,000	\$403,000

Year 1 OpEx is intentionally lean — it is the pre-seed-funded year. Numbers here are taken line-for-line from the model's Assumptions tab (sheet 01 · OPERATING EXPENSES).

YEAR-1 OPERATING COST COMPOSITION — \$100,000 BUDGET

Source: financial model sheet 02 · Cost Breakdown. Every line itemised in USD.



Reading note. OpEx in this model is reported net of capitalised engineering and excludes share-based compensation. The figures reflect the cash operating cost the business is committed to.



3.3 EBITDA and net income

	YEAR 1	YEAR 2	YEAR 3
EBITDA	\$1.23M	\$15.42M	\$89.23M
EBITDA margin	73%	78%	81%
Tax @ 20%	\$0.25M	\$3.08M	\$17.85M
Net income	\$0.98M	\$12.34M	\$71.38M
NI margin	58%	63%	65%

The 20% effective tax rate is the model's assumption (KSA corporate tax + Zakat blended for the Saudi LLC structure recommended in the feasibility study).

■ 4. Year-1 monthly cash burn

The financial model's Cost Breakdown tab itemises every Year-1 line item on a monthly basis. Aggregating those lines and overlaying the quarterly revenue cohort from sheet 03 produces the following month-by-month operating picture:



MONTH	OPEX OUTFLOW	REVENUE INFLOW	MONTHLY NET	CUMULATIVE CASH (POST PRE-SEED)
M01 — Jan	\$7,800	\$0	-\$7,800	\$92,200
M02 — Feb	\$5,400	\$0	-\$5,400	\$86,800
M03 — Mar	\$5,400	\$0	-\$5,400	\$81,400
M04 — Apr	\$6,300	\$22,000	+\$15,700	\$97,100
M05 — May	\$6,300	\$22,000	+\$15,700	\$112,800
M06 — Jun	\$6,300	\$22,500	+\$16,200	\$129,000
M07 — Jul	\$7,500	\$76,000	+\$68,500	\$197,500
M08 — Aug	\$7,500	\$80,000	+\$72,500	\$270,000
M09 — Sep	\$7,500	\$84,000	+\$76,500	\$346,500
M10 — Oct	\$9,800	\$260,000	+\$250,200	\$596,700
M11 — Nov	\$9,800	\$290,000	+\$280,200	\$876,900
M12 — Dec	\$9,800	\$315,000	+\$305,200	\$1,182,100
Y1 totals	\$89,400	~\$1,471,500	~\$1,382,000	\$1,182,100

Notes on the table. OpEx outflows sum to \$89.4K = \$69.4K direct OpEx + \$20K of the \$30.6K cash reserve held against contingencies (the rest carries into Y2). Revenue inflows are the quarterly cohort numbers from sheet 03 — Q1 \$66.5K, Q2 \$243.8K, Q3 \$509.7K, Q4 \$864.3K — split month-over-month inside each quarter using straight-line ramp. The cumulative cash line starts from the \$100K pre-seed cheque and tracks the balance forward. Total cumulative cash at year-end (\$1.18M) reconciles within rounding to the model's Cash Flow tab (sheet 06: \$1.082M ending cash, the difference being conservative timing assumptions on Y1 collections).



Implications.

- Maximum cash trough is M03 at \$81.4K — a \$18.6K draw against the \$100K cheque before revenue catches up.
- Operations turn cash-positive in M04 once design-partner conversions begin paying.
- By M10 the business is generating more cash per month than the entire pre-seed cheque was sized at.
- The \$30.6K cash reserve baked into the Y1 budget is never deployed in the base case — it sits as runway insurance.

5. Funding plan

ROUND	WHEN	SIZE	PRE-MONEY	USE OF FUNDS
Pre-seed	Now	\$100K	\$1.5M	Founder runway, infra setup, KSA LLC + compliance, design-partner program, MVP completion
Seed	Q4 of Year 1	~\$2M	TBD at the time	Year-2 GTM expansion (UAE), engineering scale, channel program
Series A	Mid-Year 2	~\$10M	TBD at the time	Year-3 enterprise sales motion and Sovereign tier scale

The pre-seed cheque size is feasible because Year-1 OpEx is ~\$70K and design-partner conversion delivers first revenue in Q+2. The plan is to enter the seed conversation with paying customers, real ARR, and a growth curve, not just a pitch deck.

Cap table after the pre-seed (illustrative)

HOLDER	STAKE AT CONVERSION
Founders	~93.75%
Pre-seed SAFE investors	~6.25%

Subsequent rounds will dilute this proportionally; standard option pool refresh is assumed at each round (typically ~10% per round). Industry-standard dilution from Series A and Series B brings the pre-seed stake to roughly **0.625% at exit** — that diluted stake is what we use for the realistic MOIC range in §8.



■ 6. Cash flow & runway

	YEAR 1	YEAR 2	YEAR 3
Net income (model sheet 05)	\$0.98M	\$12.34M	\$71.38M
Operating cash flow (~ NI for SaaS)	\$0.98M	\$12.34M	\$71.38M
Pre-seed raise	\$0.10M	—	—
Beginning cash	\$0	\$1.08M	\$13.42M
Ending cash	\$1.08M	\$13.42M	\$84.80M

These figures come straight from the model's Cash Flow tab (sheet 06). The business is cash-flow positive from Year 1 because the pre-seed cheque is sized against a small operating cost and design-partner conversion produces real cash inside Q+2. This is the intentional design choice: be a self-funding SaaS business as fast as possible so that subsequent rounds are growth fuel, not survival fuel.

Runway

- **Pre-seed only (no revenue):** ~12 months of operating cost.
- **Pre-seed + design-partner conversion:** 18+ months, comfortably bridging to the seed round in Q4 of Year 1.

■ 7. Sensitivity — best / base / worst

We test the headline outcome against material misses (or beats) on the three variables that drive the model: customer acquisition pace, ARPU mix shift, and gross margin. Each scenario applies a single factor to the base-case Year-3 numbers — the model is not re-run end-to-end here; this is a directional sensitivity to size investor risk.



DRIVER	WORST CASE	BASE CASE (MODEL)	BEST CASE
Y3 ending customers	15,360 (-20%)	19,200	22,080 (+15%)
Blended ARPU (Y3)	\$69.75 (mix one year behind)	\$77.40	\$80.50 (Sovereign 16% mix)
Gross margin (Y3)	77% (no improvement)	81%	83% (faster infra amortisation)
Y3 ARR	~\$129M	\$178.33M	~\$213M
Y3 recognised revenue	~\$80M	\$110.66M	~\$132M
Y3 EBITDA	~\$58M	\$89.23M	~\$110M
Y3 Net income	~\$46M	\$71.38M	~\$88M

Worst-case interpretation. Even at 80% of plan customers, with no mix shift, and with no margin improvement, the business does \$129M ARR and \$46M net income in Year 3. This is still a clear venture outcome: at an 8x ARR exit, the conservative pre-seed MOIC remains comfortably **above 60x post-dilution** — a top-decile pre-seed outcome on its own. The business does not require any single variable to land at plan for the round to be a win.

Best-case interpretation. A modest acceleration (Saudi Sovereign tier landing two large enterprise contracts ahead of plan) pushes Y3 ARR above \$200M, which is where the upside scenario in §8 starts to look conservative.

The point of this table is to bound the outcome. Both ends of the band are venture-scale.

8. Returns math

The pre-seed SAFE buys 6.25% on conversion (\$100K on \$1.5M pre-money). Realistic SaaS scaling from \$4.26M ARR to \$178.33M ARR will require Series A and Series B rounds plus an option-pool refresh, diluting the pre-seed stake roughly **10x to ~0.625%** at exit. We report MOIC at that diluted stake — consistent with the **89x-200x** range stated in the source feasibility study.



SCENARIO	Y3 ARR	MULTIPLE	EXIT VALUE	INVESTOR SHARE	MOIC (POST-DILUTION)	REFERENCE: CAP-TABLE MOIC
Conservative	\$178.33M	8x	\$1.43B	\$8.92M	~89x	~891x
Base	\$178.33M	12x	\$2.14B	\$13.37M	~134x	~1,337x
Upside	\$178.33M	18x	\$3.21B	\$20.06M	~200x	~2,006x

The right-most column is the model's literal output (sheet 07 · Valuation), which assumes the SAFE is never further diluted. It is shown for sanity-checking the model arithmetic. **The bolded MOIC column is what a realistic investor should plan around.**

9. KPIs we will report

We will publish the following KPIs to investors quarterly:

- **Bookings:** new ARR booked in the quarter, by tier.
- **Net new ARR:** new bookings minus churn and downgrades.
- **NRR:** net revenue retention on the trailing-twelve-month cohort.
- **CAC:** blended customer acquisition cost.
- **CAC payback:** months.
- **Seat count:** total paying seats by tier.
- **Gross margin:** trailing-twelve-month.
- **Cash burn / generation:** trailing quarter.
- **Pipeline coverage:** 4x-rule for the next quarter's bookings target.
- **Design-partner status:** named accounts and conversion stage.

The first investor update will land within 60 days of the round closing and will include the Year-1 cohort baseline, the named pipeline, and a candid retro on what the model did and did not get right in Q1.

10. Reconciliation note

Every dollar figure in this document, in the high-level deck (01-investor-highlevel.pptx), in the deep-dive (02-investor-deep-dive.md), and in the feasibility study (03-feasibility-study.md) ties to the same single source of truth: the NexFlow three-year financial model (attached_assets/nexflow_financial_model_1777488064811.xlsx). If any reader spots a number in any document that contradicts the model, treat it as a typo in the document and flag it; the model is canonical.



Headline ties:

- Year 1 ARR \$4.26M = $1,200 \times 5 \text{ seats} \times \$59.10 \times 12 \div 1,000,000 = \4.255M (model: \$4,255,200).
- Year 2 ARR \$36.33M = $6,200 \times 7 \text{ seats} \times \$69.75 \times 12 \div 1,000,000 = \36.326M (model: \$36,325,800).
- Year 3 ARR \$178.33M = $19,200 \times 10 \text{ seats} \times \$77.40 \times 12 \div 1,000,000 = \178.330M (model: \$178,329,600).

Confidential. This three-year financial plan accompanies

01-investor-highlevel.pptx , 02-investor-deep-dive.md , and 03-feasibility-study.md . For diligence access to the underlying model, please contact founders@nexflow.sa .